DEMAND & INVENTORY PLANNING INSIGHT REPORT

Footwear Planning Simulation | Executive Summary & Performance Analysis

TOTAL DEMAND	TOTAL ORDERS	TOTAL RECEIVING	OVERALL DRA %	CLOSING INVENTORY
298,289	298,732	283,585	95.1%	49,211

1. EXECUTIVE OVERVIEW & KEY FINDINGS

Based on the Footwear Planning Simulation data across 2025, the overall demand fulfillment demonstrates strong operational alignment, achieving an average **Demand Receiving Alignment (DRA) of 95.1%**. Total demand reached **298,289 units** against production orders of **298,732 units**, showing highly synchronized aggregate planning. However, category-level dynamics and stock trajectory reveal critical optimization opportunities.

2. CORE OPERATIONAL OBSERVATIONS

- **Demand & Supply Convergence:** Production closely mirrors total demand throughout Jan–Dec 2025, with peak operational alignment occurring during the mid-year seasonal window (June–August).
- **Inventory Stabilization Trend:** Inventory experienced a massive destocking phase from January 2025 (high carrying levels) down to a stable baseline around ~49,211 units by mid-year. This indicates successful inventory rationalization, minimizing holding costs.
- **Category Performance Variance:**
  - **High Performers:** *Formal Shoe*, *Sandal*, and *Casual Shoe* achieved top-tier fulfillment rate (DRA % > 95%), ensuring high customer satisfaction in core revenue drivers.
  - **Severe Lagging Category:** *School Shoe* shows an abnormally low DRA % (approx. 25-30%), indicating acute stockouts, delayed fulfillment, or severe supply chain bottlenecks for this category.
  - **Moderate Performers:** *Running Shoe*, *Sneaker*, *Loafer*, and *Sports Shoe* show balanced fulfillment levels near the 85-90% range.

📌 PLANNING INSIGHTS & KEY TAKEAWAYS FOR DASHBOARD CONCLUSION

(The following bullet points are formatted specifically to be presented directly beneath the Excel Dashboard during interviews or executive presentations):

FULFILLMENT EFFICIENCY **High Overall Alignment (95.1% DRA):** Total production and receiving (283,585 units) successfully matched aggregate market demand (298,289 units), maintaining stable service levels across primary product lines throughout the year.

WORKING CAPITAL **Effective Inventory Rationalization:** The sharp drop in stock level after Q1 stabilization prevented excess working capital tie-up, maintaining a lean closing inventory of 49,211 units without triggering critical stockouts in major categories.

CRITICAL VULNERABILITY **Category Bottleneck in School Shoes:** While core categories (Formal, Sandal, Casual) achieved high DRA, *School Shoes* faced a severe supply shortfall (DRA < 30%), highlighting an urgent need for dedicated supplier SLA reviews and line capacity re-allocation.

STRATEGIC FOCUS **S&OP Optimization Opportunity:** Transition from high-level aggregate planning to category-level dynamic buffer management—specifically aligning seasonal back-to-school demand spikes with targeted safety stock replenishment.